

SCHEDULE 'C' – INCOME FROM BUSINESS

1

- **Business Income Tax** shall be imposed for each tax year at the rate or rates specified in **Art. 19 (979/2016)** on a person conducting business that has taxable income for the year.

Business Income Tax Rates

1. **The rate of business income tax applicable to a body is [30%].**

2. The rates of Business income tax applicable to an individual are:

Business Income in Birr (per Year)	Tax rate	Shortcut deduction
0 - 7,200	0%	0
7,201-19,800	10%	720
19,801-38400	15%	1710
38401-63000	20%	3630
63001-93600	25%	6780
93,601-130800	30%	11460
Over 130,000	35%	18000

Taxable Income

3

1. The taxable income of a taxpayer for a tax year shall be the total business income of the taxpayer for the year reduced by the total deductions allowed to the taxpayer for the year.
2. The taxable income of a taxpayer for a tax year shall be determined in accordance with the profit and loss, or income statement, of the taxpayer for the year prepared in accordance with the financial reporting standards.

Example

4

- Assume a taxable business income is Br 70,500. Determine the tax liability if the company is
- a. a corporate firm (share company or PLC)
- b. unincorporated firm (sole proprietorship or partnership business)

Business Income

5

Business income of a taxpayer for a tax year shall include the following:

- a) the gross amounts derived by the taxpayer during the year from the conduct of a business, including the gross proceeds from the disposal of trading stock and the gross fees for the provision of services (other than employment income);
- b) the gross amounts derived by the taxpayer during the year from the investment of the capital of a business, including dividends, interest, and royalties;
- c) a gain on disposal of a business asset (other than trading stock) made by the taxpayer during the tax year;
- d) any other amount included in business income of the taxpayer for the tax year under this Proclamation.

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6

- Business income shall not include an amount that is exempt income.
- The gain on disposal of the asset included in business income is the amount (if any) by which the cost of the asset exceeds the net book value of the asset at the time of disposal; and any gain above cost is taxable under Article 59.

Deductible Expenditures

7

- a) any expenditure to the extent necessarily incurred by the taxpayer during the year in **deriving, securing, and maintaining amounts included in business income;**
- b) the **cost of trading stock** disposed of by the taxpayer during the year as determined in accordance with the financial reporting standards;

- c) **the total amount by which the depreciable assets and business intangibles** of the taxpayer have declined in value during the year from use in deriving business income as determined under Article 25 of the Proclamation;
- d) **a loss on disposal of a business asset** (other than trading stock) disposed of by the taxpayer during the year;
- e) **any other amount allowed as a deduction to the taxpayer under the Proclamation for the year.**

Interest Expenditure

9

- 1) Subject to this Article and Article 46 of the Proclamation, in determining the taxable income of a taxpayer for a tax year,

“the taxpayer shall be allowed a deduction for any interest incurred by the taxpayer in a tax year if the taxpayer has used the proceeds or benefit of the debt or other instrument or agreement that gives rise to the interest to derive business income.”

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10

- **No deduction** shall be allowed for the following:
 - a) *interest paid or payable by a taxpayer in excess of the rate used between the National Bank of Ethiopia and commercial banks increased by 2 percentage points unless the interest is paid to:*
 - A financial institution recognised by the National Bank of Ethiopia; or
 - A foreign bank permitted to lend to persons in Ethiopia;
 - b) *interest paid or payable by a taxpayer to a related person who is a resident of Ethiopia except when the interest is included in the business income of the related person.*

Charitable Donations:

11

The taxpayer shall be **allowed a deduction for the amount of a donation** when the donation is made:

- a) to a non-profit organisation (Defn. Proc. 621/2009); or
- b) in response to an emergency call issued by the Government to defend the sovereignty and integrity of the country, to prevent or provide relief in relation to man-made or natural disasters or an epidemic, or for any other similar cause;

The total deduction allowed to a taxpayer under sub-article (1) of this Article for a tax year **shall not exceed 10% of the taxable income** of the taxpayer for the year.

Depreciation of Depreciable Assets and Business Intangibles

12

The taxpayer shall be **allowed a deduction for the amount of** the depreciable assets and business intangibles of the taxpayer declined in value during the year through use in deriving business income.

□ Buildings:

- On a straight line basis,
- Depreciated annually at 5%,
- Economic life of 20 years
- Post-acquisition capital costs depreciated over the next twenty years.

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13

- Intangible assets:
 - On straight line basis
 - Depreciated annually at 10%,
 - Economic life of 10 years,
 - Post-acquisition capital costs depreciated over the next ten years.
- Two pools of assets:
 - ▣ computers, information systems, software products and data storage equipment 25%;
 - Declining balance method
 - Depreciated annually at 25%,
 - Economic life of 4 years

Cont'd.....

14

- ▣ All other business assets (Motor, Machineries...):
 - Declining balance method
 - Depreciated annually at 20%,
 - Economic life of 5 years

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15

- The depreciation of a depreciable asset or business intangible shall commence when the asset or intangible is ready and available for use in deriving business income, but, in the case of a building constructed by a taxpayer, not before the regulatory authority has issued the taxpayer with a certificate of completion for the building.

Bad Debt

16

- In the determination of taxable business income, a deduction is allowed for a bad debt if the following conditions are met:
 - ▣ *an amount corresponding to this debt was previously included in the income;*
 - ▣ *the debt is written off in the books of the taxpayer; and*
 - ▣ *any legal action to collect the debt has been taken but the debt is not recoverable.*

Non-deductible Expenditures and Losses

17

- a) an expenditure of a capital nature except to the extent provided for under Article 22(1)(c) of the Proclamation;
- b) an increase in the share capital of a company or the basic capital of a registered partnership;
- c) voluntary pension or provident fund contributions in respect of an employee in excess of 15% of the monthly employment income of the employee;
- d) dividends and paid-out profit shares;

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18

- e) an expenditure or loss to the extent recovered or recoverable under a policy of insurance, or a contract of indemnity, guarantee, or surety;
- f) a fine or penalty imposed, or punitive damages awarded, for violation of any law, regulation, or contract;
- g) an amount that a person has transferred, in its financial accounts, to a reserve or provision for expenditures or losses not yet incurred but expected to be incurred in a future tax year;
- h) income tax paid under this Proclamation or under a foreign tax law, or recoverable value added tax;

- i) representation expenditures of an employee in excess of 10% of the employment income of the employee;
- j) expenditure incurred in the provision of entertainment, except:
 - (1) when the person's business involves the provision of entertainment; or
 - (2) to the extent that the expenditure is allowed as a deduction under a Directive issued by the Minister relating food provided to for free to employees by an employer conducting a mining, manufacturing, or agricultural business;

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20

- k) A donation or gift except as provided for in Article 24 of the Proclamation;
- l) Personal consumption expenditure;
- m) A loss on the disposal of a business asset by a taxpayer to a related person;
- “entertainment” means the provision to any person of food, beverages, tobacco, accommodation, amusement, recreation, or hospitality of any kind.

Loss carry forward

21

- If the total amount of deductions allowed to a taxpayer for a tax year (other than a deduction allowed under this Article) exceeds the total business income of the taxpayer for the year, the amount of the excess shall be the taxpayer's loss for the year.
- Subject to sub-article (4) of this Article, if a taxpayer has a loss for a tax year, the taxpayer shall carry the amount of the loss forward to the next following tax year and the loss shall be allowed as a deduction in computing the taxpayer's taxable income for that following year.

Loss carry forward

22

- If a taxpayer is not able to wholly deduct a loss under sub article (2) of this Article, the taxpayer shall carry the amount not deducted forward to the next following tax year and apply the amount as specified in sub-article (2) of this Article in that year, and so on until the loss is fully deducted, but a taxpayer shall not carry a loss forward for more than 5 tax years after the end of year in which the loss was incurred.
- If there has been two tax years in which a taxpayer has incurred a loss under sub-article (1) of this Article and each of those losses has been carried forward under sub-article (2) of this Article, the taxpayer shall not be permitted to carry forward any further losses under sub-article (2) of this Article.

Example

23

- Abebe Weilding, a sole proprietorship has presented the following income/ expense statement for the fiscal year ended Sene 30, 2010 E.C. The income statement was presented to the Tax Authority on Hamle 30, 2010 E.C.

Aebe Weilding

Income statement

For the Year Ended Sene 30, 1999

Sales Revenue (in Birr)	150,000.00
Cost of Goods Sold	100,000.00
Gross Profit	50,000.00
General and Administrative Cost	15,000.00
Profit before tax	35,000.00
Profit tax	5,930.00
Profit after tax	29,070.00

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24

- During the time of tax assessment by the Tax Authority the following facts were discovered:
 - depreciation expense exceeded the tax limit allowed by Birr 250
 - miscellaneous expenses valued at Birr 768 were included in the income statement without supporting voucher
 - interest disallowed for tax at a value of Birr 900 was included in the expense
 - doubtful account was written off from books for value of 3,000. This written off balance is disallowed for tax
 - the owner donated Birr 200 for an individual named Ato Addis
 - penalty for Birr 80 was recorded as expense
 - salary paid to Ato Abebe, the owner amounting Birr 580 was reported as expense
- **Required: Determine taxable business income**

Solution

25

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|---|-----------------------------|
| □ Taxable business income declared by the tax payer | <u>Birr 35,000</u> |
| □ Add: | |
| □ Tax disallowed depreciation expense | 230 |
| □ Disallowed miscellaneous expense | 768 |
| □ Interest expense | 900 |
| □ Uncollectable account expense | 3,000 |
| □ Donation Expense | 200 |
| □ Penalty | 80 |
| □ Salary paid to owner | <u>580</u> |
| □ Adjusted taxable income | Birr 40,758 |
| □ Taxable Business Income | Birr 40,758.00 |
| □ Tax rate according to Schedule C Tax schedule | 20% |
| □ Tax adjusted deduction | 3630.00 |
| □ Business tax for the year 2010 will be $40,758 \times 20\% - 3,620 =$ | <u>Birr 4,531.60</u> |

Exercise

26

- Ato Ketema has a retail business; (a sole proprietor firm). He has presented the following income statement for the year 1999 E.C.

Ketema Retail Center

Income statement

For the Year Ended Sene 30, 2010

□ Sales Revenue	Birr 490,000.00
□ Beginning Merchandise Inventory	100,000.00
□ Purchase	200,000.00
□ Goods available for sale	300,000.00
□ Ending Merchandise Inventory	(160,000.00)
□ Cost of Goods Sold	<u>140,000.00</u>
□ Gross Profit	350,000.00

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27

□	General and Administrative Cost		
□	Salary Expense	64,393.54	
□	Rental Expense	12,300.00	
□	Stationary Expense	2,141.40	
□	Depreciation Expense	28,150.00	
□	Telephone Expense	6,067.80	
□	Repair Expense	15,317.00	
□	Insurance Expense	3,309.80	
□	Land lease and building tax	5,544.00	
□	Interest Expense	1,224.44	
□	Miscellaneous Expense	<u>21,105.40</u>	159,553.38
□	Taxable Business Income		190,446.62
□	Business Tax		<u>58,706.31</u>
□	Net Profit		131,740.31

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28

- While examining the accounts of the tax payer the following were uncovered by auditors of the Tax Authority:
 - from the rent expense reported above only Birr 6,300 apply for the year 2010;
 - Birr 1,607.00 insurance was paid for personal car of the owner;
 - repair expense of Br 850 is not supported by acceptable document;
 - loss adjusted to merchandise inventory as per physical count done at the end of the year - Br 25,370
 - membership fee paid on behalf of the owner for Kurifitu Hotel - Br 1,270
 - entertainment expense of the year - Br 2,750.00
 - gift and donation provided to an individual - Br 5,000
 - Expense paid on behalf of sister company Br 15,350
 - Various expenses paid without supporting document - Br 5,544

- **Required: Determine business income tax that the company should pay**

Category C SCHEDULE

Category c Income in Birr (per Year)	Tax rate	Shortcut deduction
0-7,200	0%	0.00
7,201-19,800	10%	720.00
19,801-38,400	15%	1,710.00
38,401-63,000	20%	3,630.00
63,301-130,800	25%	6,780.00
Above 1380,800	30%	11,460.00
	35%	18,000.000

Example

30

- The following detail is provided for one printing company for the year ended Sene 30, 2010.
 - ▣ daily presumed income (as per the daily income presumptive committee assessment of the Kebele) - Br 270.00 (per day gross income);
 - ▣ working days as per the presumptive tax schedule in a particular year - 365 (days in a year).

Solution

31

- Br 270.00 daily gross income x 365 working days in a year = Br 98,550.00
- The taxable income and tax of the company would be determined as follows:
- **Annual gross income X Taxable business income rate
= Annual presumed taxable business income**
Br 98,550 x 25% = Br24,637.50

**The business tax for the year ended Sene 30, 2010
would be:**

Br x % - =

Exercise

32

- The following detail is provided for Ato. Hailu, a coffee trader for the year ended Sene 30, 2010.
 - ▣ daily presumed income (as per the daily income presumptive committee assessment of his Kebele) Br 325.00 (gross income per day)
 - ▣ working days as per the presumptive tax schedule in a particular year is 300 (days in a year)